

INDUSTRY TREND ANALYSIS

Banking economics reallocate—not collapse

Structural · Evidence current to 27 August 2026

The signal

Current profitability remains resilient, while value pools migrate and legacy cost, payment economics, operational risk, and technology dependencies reshape returns.

>10% EU/EEA bank return on equity reported by EBA, which cautioned that expected improvement relies partly on lower staff and administrative expense. ^[1]	450+ bps decline in average bank ROE since the global financial crisis cited in the Weekly Brief archive. ^[2]	\$7 trillion five-year shareholder-value opportunity described for banks that fundamentally reshape their organizations. ^[2]
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What is changing - and why it matters

Banking economics are reallocating rather than collapsing. Profitability remains resilient in parts of the system, but value pools move toward asset managers, digital payments, infrastructure and differentiated advice while legacy costs and operational risk remain. The strategic task is to redirect resources before revenue pressure forces indiscriminate cost cutting.

Executive implication

Banking economics are reallocating rather than collapsing. Profitability remains resilient in parts of the system, but value pools move toward asset managers, digital payments, infrastructure and differentiated advice while legacy costs and operational risk remain. The strategic task is to redirect resources before revenue pressure forces indiscriminate cost cutting.

Action agenda

- Reallocate capital and technology spend toward defensible client and infrastructure positions.
- Use AI and simplification to remove structural cost, not only reduce headcount.
- Stress-test profit pools against payments, private credit and digital-asset migration.

What could change the view

- Profitability relies on temporary rate conditions or optimistic cost assumptions.
- New infrastructure erodes fee pools faster than new services scale.

Selected evidence

[1] Authoritative research · European Banking Authority · 2026-06-18 · Risk Assessment Report — June 2026 · p. 5

[2] Weekly Brief · 2024-03-25 · Banking at a Crossroads

[3] Weekly Brief · 2026-08-04 · Getting Real About Digital Assets

[4] Authoritative research · McKinsey & Company · 2026-05-01 · Global Banking Annual Review 2026: Precision with Speed

[5] Authoritative research · J.P. Morgan Global Research · 2026-07-01 · Mid-Year Market Outlook 2026: The Tug of War Continues

This independent analysis connects the available Weekly Brief archive with selected authoritative research. Forecasts and company-reported figures are identified in context. The complete evidence list remains available on the website.